



Certificate on Corporate Governance

To,
The Members,
Power Finance Corporation Limited
'Urjanidhi', 1, Barakhamba Lane,
Connaught Place, New Delhi - 110001

We have examined the compliance of the conditions of Corporate Governance by Power Finance Corporation Limited, (herewith referred as 'the Company') for the period ended on March 31, 2022 as prescribed in SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter called as "SEBI (LODR) Regulations, 2015") and 'Guidelines on Corporate Governance for Central Public Sector Enterprises issued by the Department of Public Enterprises, Ministry of Heavy Industries and Public Enterprises Government of India.

The compliance of conditions of Corporate Governance is the responsibility of management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of corporate governance as stipulated in above mentioned regulations and guidelines. It is neither an audit nor an expression of opinion on the financial statement of the company.

We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of certification and have been provided with such records, documents, certification, etc. as had been required by us.

In our opinion and to the best of our knowledge and information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned SEBI (LODR) Regulations and in the guidelines on corporate governance issued by the 'Department of Public Enterprises' except that:

- (i) The number of Independent Directors on the Board was less than half of the total strength of Board as required under SEBI (LODR) Regulation and the DPE guidelines upto January 31, 2022 for which company has regularly written to its administrative ministry i.e. Ministry of Power for appointment of appropriate number of Independent Directors on the Board.

And

- (ii) The company has not complied with the provision of regulation 17 (1) up to January 31, 2022, 17 (10), 18 (1) (B) up to December 22, 2021 and 19 (1)(b & c) up to December 22, 2021 as required under the SEBI (LODR) Regulations, 2015.

We further state that such compliance is neither an assurance to the future viability of the Company nor the efficiency of the effectiveness with which the Management has conducted the affairs of the company.

For **Amit Agrawal & Associates**
(Companies Secretaries)

Sd/-
CS Amit Agrawal
(Proprietor)

Place: Delhi
Date: August 29, 2022

M. No. F5311, C.P. No. : 3647
UDIN: F005311D000869768

Business Responsibility Report

ANNEXURE D OF BOARD'S REPORT

Section A: General Information about the Company

Corporate Identification Number (CIN) of the Company	L65910DL1986GOI024862
Name of the Company	Power Finance Corporation Limited
Registered address	'Urjanidhi', 1, Barakhamba Lane, Connaught Place, New Delhi - 110 001
Website	www.pfcindia.com
E-mail ID	mb@pfcindia.com
Financial Year reported	2021-22
Sector(s) that the Company is engaged in (industrial activity code-wise)	64920 (Other Financial Services and Activities - Other Credit Granting)
List three key services that the Company provides	PFC is a leading financial institution focused on the power sector. It provides a comprehensive range of financial products and related advisory and other services from project conceptualisation to the post-commissioning stage to our clients in the power sector, including for generation (conventional and renewable), transmission and distribution projects as well as for related renovation and modernisation projects. PFC provides various fund based financial assistance, including long-term project finance, short-term loans, buyer's line of credit, as well as non-fund based assistance including credit enhancement guarantees and letters of comfort etc. In addition, it is involved in various Gol programmes for the power sector, including acting as the nodal agency for the UMPP programme and the RDSS/IPDS/(R-APDRP subsumed in it) and as a bid process coordinator through its wholly-owned subsidiary PFC Consulting Limited for the ITP scheme.
Total number of locations where business activity is undertaken by the Company	The registered office of PFC is located at New Delhi. Further, PFC has 2 Regional Offices in India i.e. Mumbai and Chennai.
i. Number of International Locations	
ii. Number of National Locations	The Company does not have any international office, at present.
Markets served by the Company - Local/State/National/International	PFC serves the Indian markets and its business extends throughout the country. For resource mobilisation purpose, the Company also taps international capital markets besides domestic markets.

Section B: Financial Details of the Company (as on March 31, 2022)

Paid up Capital (INR)	₹2,640.08 crore
Total Turnover (INR) (Revenue from Operations)	₹38,545.40 crore
Total profit after taxes (INR)	₹10,021.90 crore
Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	2.14% (₹214.72 crore) of Profit After Tax (PAT) during FY 2021-22. It is submitted that ₹214.72 crores includes (i) ₹54.87 crores transferred to Unspent CSR Account during FY 2021-22 and (ii) ₹39.39 crores being excess amount spent during FY 2020-21 and adjusted in FY 2021-22.
List of CSR activities in which expenditure has been incurred	The major areas on which the above expenditure has been incurred includes health care, sanitation, safe drinking water, education, vocational skills & livelihood enhancement, environmental sustainability, disaster management including relief rehabilitation & reconstruction activities and rural development projects, besides contribution to PM CARES Fund.

Section C: Other Details

Does the Company have any Subsidiary Company/ Companies?	Yes
Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company?	No
Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with; participate in the BR initiatives of the Company?	No

Section D: BR Information

1. Details of Director responsible for BR

a) Details of the Director responsible for implementation of the BR policies

Particulars	Details
DIN Number	08530587
Name	Parminder Chopra
Designation	Director (Finance)

b) Details of the BR head

Particulars	Details
DIN Number (if applicable)	NA
Name	Shri Manohar Balwani
Designation	Company Secretary
Telephone number	011- 23456749
E-mail id	mb@pfcindia.com

2. Principle-wise (as per NVGs and NGRBC) BR policies

The National Voluntary Guidelines and National Guidelines on Responsible Business Conduct (NGRBC) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These briefly are as under:

- P1 – Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
- P2 – Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
- P3 – Businesses should promote the well-being of all employees.
- P4 – Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalised.
- P5 – Businesses should respect and promote human rights.
- P6 – Businesses should respect, protect and make efforts to restore the environment.
- P7 – Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
- P8 – Businesses should promote inclusive growth and equitable development.
- P9 – Businesses should engage with and provide value to their customers and consumers in a responsible manner.

Sr. No.	Questions	Business Ethics	Product Responsibility	Well-being of Employees	Stakeholder Engagement	Human Rights	Environment	Public Policy	CSR	Customer Relations
		P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/policies for....	Y	PFC being an NBFC, this principle has limited applicability	Y	Y	The policy is embedded in company's HR policies and practices	The policy is embedded in company's various policies and practices	The policy is embedded in company's various policies and practices	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Y	-	Y	Y	-	-	-	Y	Y
3.	Does the policy confirm to any national/international standards?	Y	-	Y	Y	-	-	-	Y	Y
4.	Has the policy being approved by the Board? If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	-	Y	Y	-	-	-	Y	Y

Sr. No.	Questions	Business Ethics	Product Responsibility	Well-being of Employees	Stakeholder Engagement	Human Rights	Environment	Public Policy	CSR	Customer Relations
		P1	P2	P3	P4	P5	P6	P7	P8	P9
5.	Does the Company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	-	Y	Y	-	-	-	Y	Y
6.	Indicate the link for the policy to be viewed online?	#	-	Policy being an internal document is accessible to employees only	#	-	-	-	#	#
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	-	Y	Y	-	-	-	Y	Y
8.	Does the Company have in-house structure to implement the policy/policies?	Y	-	Y	Y	-	-	-	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	-	Y	Y	-	-	-	Y	Y
10.	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Y	-	Y	Y	-	-	-	Y	Y

#The relevant explanation/ information/ links are mentioned at Annexure to this Report.

(b) If answer to Sr. No. 1 against any principle, is 'No', please explain why:

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	The Company has not understood the Principles									
2.	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles									
3.	The Company does not have financial or manpower resources available for the task									
4.	It is planned to be done within next 6 months									
5.	It is planned to be done within the next 1 year									
6.	Any other reason									

NOT APPLICABLE

3. Governance related to BR

- Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. The BR activities of the Company are overseen by a Functional Director and the Board also reviews the Business Responsibility Report as part of Directors' Report on annual Basis.

- Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The Business Responsibility Report is published as a part of Annual Report from FY 2012-13 onwards. The current Report shall form a part of Annual Report for FY 2021-22 and shall be available on company's website: www.pfcindia.com.

Section E: Principle-wise performance

Principle 1

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Does it extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

Power Finance Corporation Ltd. (PFC) is a leading power sector public financial institution and a non-banking financial company, providing fund and non-fund based support for the development of the Indian power sector. It plays a major role in channelising investment into the power sector and acts as a vehicle for development of this sector. Its clients include state power utilities, central power sector utilities, power departments, private power sector utilities (including independent power producers), joint sector power utilities etc. PFC has developed the Fair Practices Code (FPC) for its lending operations based on the RBI guidelines, which intends to provide assurance to all the borrowers of the Company's commitment to fair dealing and transparency in its businesses transactions.

PFC also considers Corporate Governance as an integral part of good management and is committed to act professionally, fairly and with integrity in all its dealings. In this direction, Company has an established Code of Business Conduct & Ethics for Board Members & Senior Management.

The Code of Business Conduct and Ethics for the Board Members and Senior Management is a comprehensive code applicable to all Directors and Members of Senior Management of the Company. It is in alignment with Company's vision and values to achieve the Mission & Objectives and aims at enhancing ethical and transparent process in managing the affairs of the Company.

An Anti-Fraud Policy is in place in PFC to enforce controls and to aid in prevention & detection of fraud in the Company. It covers employees (including contractual employees) as well as shareholders, consultants, vendors, suppliers, service providers, contractors, lenders, borrowers, outside agencies and any other parties having a business relationship with PFC.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

Under the Anti-Fraud Policy, the Company had not received any complaint during the FY 2021-22.

The Company had received a total of 10,568 complaints (including 16 complaints lying pending as on April 1, 2021) from the shareholders and bondholders of the Company during the FY 2021-22, out of which all 10,568 (100%) complaints were resolved by March 31, 2022.

Under PFC's Citizen Charter, total 51 complaints were received from customers/consumers during the FY 2021-22 in addition to 2 complaints pending at the beginning of the year. Out of which 52 (98.11%) were resolved by March 31, 2022 leaving 1 complaint pending.

Principle 2

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

PFC has financial products like term loan, buyer's line of credit, lease financing etc. including financing of renewable energy projects which are sustainable and environmentally benign. The Company endeavours to incorporate social and environmental concerns in the appraisal of the projects it finances and its activities in general.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product:

Since PFC is not a Manufacturing Company and offers financial assistance to Power Sector projects only, following questions mentioned below are generally applicable to manufacturing sector:

i. Reduction during sourcing/production/ distribution achieved since the previous year throughout the value chain?

Not Applicable.

ii. Reduction during usage by consumers (energy, water) has been achieved since the previous year?

Not Applicable.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)?

Not Applicable.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

PFC, being a Financial Institution, is relatively less resource intensive in terms of material inputs. We are also following the Government of India's directives, issued from time to time, in respect of reservation for Micro, Small & Medium Enterprises in procurements.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so?

The Company, being a Financial Institution, has limited applicability of mechanism to recycle products and waste. However, the Company has installed a Composter

Machine in PFC premises of 50Kg capacity. It can recycle wet materials into 10% within 24 hrs. and can convert 90% material into organic compost. The produced Organic Compost has been used by PFC for plantation in the premises and nearby plants.

PFC has been ranked 3rd in "Swachhata Ranking" by NDMC in the category of offices in NDMC area in December, 2021.

Principle 3

1. Please indicate the total number of employees.

As on March 31, 2022 there were 501 employees in PFC.

2. Please indicate the total number of employees hired on temporary/ contractual/ casual basis.

There were 67 employees hired on contractual basis in PFC as on March 31, 2022.

3. Please indicate the number of permanent women employees.

As on March 31, 2022, there were 100 permanent women employees in the Company.

4. Please indicate the number of permanent employees with disabilities.

There were 17 permanent employees with disabilities as on March 31, 2022.

5. Do you have an employee association that is recognised by management?

PFC has PFC Employees Union, PFC SC/ ST/ OBC Employees Welfare Association and PFC Executive Association.

6. What percentage of your permanent employees is members of this recognised employee association?

100% of the permanent employees are members of these recognised employee associations.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

Sr. No.	Category	No. of complaints filed during the financial year 2021-22	No. of complaints pending as on March 31, 2022
1	Child labour/ forced labour/ involuntary labour	Nil	Nil
2	Sexual harassment	Nil	Nil
3	Discriminatory employment	Nil	Nil

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

• Permanent Employees	51.49%
• Permanent Women Employees	47.00%
• Casual/Temporary/Contractual Employees	54.23%
• Employees with Disabilities	64.70%

Principle 4

1. Has the Company mapped its internal and external stakeholders?

Yes

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalised stakeholders?

All reserved category employees (SC/ ST/ OBC/ PwBD/ EWS) and minorities are identified as disadvantaged, vulnerable & marginalised stakeholders.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalised stakeholders?

All Government of India directives are followed for engagement at various levels of career progression for all reserved category employees (SC/ ST/ OBC/ PwBD/ EWS) & Minorities. Various infrastructure arrangements were made for benefits of PwBD persons. Meritorious awards are being given to children of these categories along with other children by giving special relaxation in percentage of marks. Separate Liaison Officers are in place to look after the welfare of the employees in the ambit of this category. It is ensured that a person of reserved category of appropriate level is nominated as member in various selection and promotion committees to look into the interest of the employees of reserved categories.

Principle 5

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

PFC does not have any specific policy on human rights. However, it is embedded in company's various HR policies and practices.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

The details of stakeholder complaints during FY 2021-22 are given herein below:

Particulars	No. of Complaints			
	Equity Shareholders	Bondholders	Under Anti-Fraud Policy	Under Citizen Charter
Pending at the beginning	16	0	0	2
Received during the year	1,886	8,666	0	51
Disposed off during the year	1,902	8,666	0	52
Lying unresolved at the end of the year	0	0	0	1
% of Complaints resolved	100%	100%	0	98.11%

Principle 6

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ others?

The policy is embedded in company's various policies and practices and covers the Company as a whole.

2. Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

PFC is a socially conscious organisation and fully endorses the nine principles of Global Compact enunciated by the United Nations Organisation (UNO) which encompass areas of human rights, environmental protection and labour rights. These principles of Global Compact are embedded in various organisational policies of the Company thereby facilitating their implementation in a natural way.

PFC consistently strives towards meeting the expectations of the society through proper planning and decision making that will help in achieving a real and lasting reduction of social and economic disparities as well as protecting the environment. PFC continues to support activities that aim at improving the quality of life of both present and future generations and at the same time safeguarding the capacity of the earth to support life in all its diversity.

3. Does the Company identify and assess potential environmental risks?

Since PFC is not a Manufacturing Company and offers financial products only, the question is not applicable to the Company.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

The above question is not applicable to PFC as it is not a manufacturing company. However, your Company funds renewable energy projects and energy saving projects at special rates of interest in State and Private Sectors.

5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc. Y/N? If yes, please give hyperlink for web page etc.

Yes. The Company has undertaken various Clean Technology/ Renewable energy/ Energy Efficiency etc. The details of such initiatives are available at <https://www.pfcindia.com/DocumentRepository/ckfinder/files/CSR/Latestupdate06062022.pdf>.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Not Applicable.

7. Number of show cause/ legal notices received from CPCB / SPCB which are pending (i.e. not resolved to satisfaction) as on March 31, 2022.

Not Applicable.

Principle 7

1. Is your Company a member of any trade and chamber or association? If yes, name only those major ones that your business deals with.

Yes, PFC is a member of the following associations:-

- SCOPE
- FICCI
- Central Board of Irrigation and Power
- ASSOCHAM
- Confederation of Indian Industry (CII)
- World Energy Council

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good?

PFC supports the initiatives taken by above associations in their endeavours for the advancement or improvement of public good.

Principle 8

1. Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

PFC has a CSR and Sustainability policy in place. The aim of the policy is to ensure that the Company becomes a socially responsible corporate entity committed to improving the quality of life of the society at large.

As a socially responsible corporate entity, PFC endeavours to:

- Promote and Leverage green technologies to produce goods and services that contribute to social and environmental sustainability.
- Take up projects that provide energy, water and sanitation facilities to the communities.
- Take up activities to support "Differently abled persons" and the "Health sector".
- Take up issues which are of foremost concern in the national development agenda, like safe drinking water for all, provision of toilets especially for girls, health and sanitation, education, etc.
- Contribute to inclusive growth and equitable development in society through education, capacity building measures, empowerment of the marginalised and underprivileged sections/communities.

The objective of the PFC CSR Policy is to:

- Ensure an increased level of commitment at all levels in the Organisation, to operate its business in an economically, socially & environmentally sustainable manner, while recognising the interests of its stakeholders.
- Generate a societal goodwill for PFC through CSR activities and help reinforce a positive and socially responsible image of PFC as a corporate.

2. Are the programmes/ projects undertaken through in-house team/ own foundation/ external NGO/ government structures/ any other organisation?

All the projects undertaken under CSR & SD policy were executed by Govt./Semi Govt./Quasi-Govt. implementing agencies and other reputed organisations.

3. Have you done any impact assessment of your initiative?

PFC's CSR Department conducts Impact Assessment of CSR projects and programmes of its major CSR projects on a periodic basis as per its CSR policy. PFC's CSR Department has been engaging reputed agencies and academic institutes to undertake Impact Assessment studies of its CSR projects.

4. What is your Company's direct contribution to community development projects-Amount in INR and the details of the projects undertaken?

During the year 2021-22, PFC undertook various CSR projects in Health sector as part of Preventive Measures of COVID-19 Pandemic, Skill Development, Education and Solar application sector. PFC's contribution in terms of amount sanctioned and disbursed are as given below:

Nature of Activities	Sanctioned (₹ in crore)	Disbursement (₹ in crore)
Sanitation/ Waste Management/ Drinking Water	9.12	4.04
Skill Development and Education	17.19	19.97
Solar Application/Energy Efficiency	9.02	4.87
Environment	-	1.03
Health Sector	95.11	78.12
Rural Development including Relief and Rehabilitation	4.70	14.68
Others (Impact Studies, Admin. Overheads, etc.)	4.41	4.41
Total	139.55	127.12

Spread across various CSR initiatives (inclusive of Health care projects), PFC disbursed ₹127.12 crore (including administrative overheads) and received ₹0.09 crore as refund during the FY 2021-22.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

The projects sanctioned by PFC are implemented by Govt./ Semi Govt./ Quasi-Govt. Implementing agencies and other reputed organisations. During Skill development training programmes, placement of around 70% is ensured. In projects such as environment sustainability, renewable energy etc. assets are created, transferred to beneficiaries and also monitored by PFC by various activities such as site visits, tour reports etc.

Principle 9

1. What percentage of customer complaints/consumer cases apart from shareholders and bondholders are pending as at the end of financial year?

Under PFC's Citizen Charter, total 51 complaints were received from customers/consumers during the FY2021-22 in addition to 2 complaints pending at the beginning of the year. Out of which 52 (98.11%) were resolved by March 31, 2022 leaving 1 complaint pending.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws?

The Company is a NBFC offering financial products. The Company ensures that adequate disclosures in respect of its financial products & services are displayed on its Corporate website and other stakeholder/media communications issued from time to time.